should keep as liquid reserves. The difference on the cost of these foreign currency assets and earning on these reserves invested as liquid assets can be worked out and explained as the cost of insurance against speculative attacks and keeping the economy and markets protected.

The reserves in excess of this limit should not be invested in liquid assets and certainly not by RBI as it is not a great investment manager. This part of India's foreign exchange reserves is the country's sovereign wealth, which should be invested by a professional sovereign wealth management fund on the lines of Temasek and GIC of Singapore. The Singapore institutions are not unique. Today, a number of countries with official foreign currency reserves or reserves created by earnings from natural resources entrust professional managers to manage their sovereign wealth funds.

It would require a professional study to determine the appropriate level of foreign currency assets of India to be kept and managed as foreign currency reserves for exchange management. However, if one goes by the simple yardstick of four months of import requirement being adequate for foreign exchange management, India would need about $200 billion as reserves. The rest, about $400 billion, can then be managed as sovereign wealth funds. If we want to be more conservative, 25 per cent of foreign currency debt liabilities can also be kept as additional reserves. This would require another $150 billion. There does not appear to be any justification to hold beyond $350 billion in the present low-yield investments and lose about 2–3 per cent at the minimum as cost, as India currently does.

Creation of an Equity-Financing Development Finance Institution (DFI)

To promote equity culture and tackle the equity deficit, the government should promote an equity-financing DFI in the country. Though it should not own majority stake in such a company, it should have a substantial